

where the spreadsheet helps, since you'll be able to see any holes in the information.

If you need a tie breaker, you should consider what is most important to your personal financial situation. Would you prefer a lower monthly payment or lower closing costs? If a lender is offering a credit, this can usually apply to the closing costs or the interest rate. Would you prefer to pay less cash up front or less cash over time?

After all your time and effort spent on this spreadsheet, not only will you be able to pick the best lender, but you will also be able to rest easy at night knowing you got the best deal possible.

STEP FIVE: PREAPPROVAL

To clarify up front, lenders will use two terms that sound similar: pre-approval and prequalification. The latter is worthless. Basically, pre-qualification means that the lender will give you a dollar amount you *could* qualify for based on the information you gave them. They don't pull credit or run reports. *If* everything you say is correct, you *could* qualify for this amount.

Preapproval is what you want. This means the lender has looked into your financial history, and they ran a credit check to verify that the information you shared is correct. While a preapproval letter isn't a guarantee or a loan commitment, it shows that you are serious about purchasing a home. You can still be denied for a loan—especially if you ignore our earlier advice and decide to open up a huge line of credit or quit your job right before closing—but this preapproval letter is exactly what sellers want to see when you make an offer on a house. More often than not, a preapproval letter is a must-have for getting a house in a hot market.

To get preapproved, you will need to submit stacks of documents requested by your lender, such as your:

- Last two months of bank statements
- Last two months of retirement accounts (401(k) and the like)
- Most recent thirty days of pay stubs
- Last two years of tax returns